

low-cost cardiac surgeries, they want to create value by making everything affordable to the 600 million Indians who live in rural India.

Vikram Akula's tryst with micro-finance in Andhra Pradesh has proved that catering to the financial needs of rural India can be a viable business. Base-of-pyramid opportunities are opening up vast markets for companies and venture capitalists like Sequoia Capital, which has invested \$11.4 million (Rs 46 crore) in Akula's SKS Microfinance. Explains Klaus Schwab, executive chairman and founder of the World Economic Forum (WEF): "The development and business sectors are merging."

When renowned cardiac surgeon Dr Deviprasad Shetty founded specialty hospital Narayana Hrudayalaya in Bangalore to make healthcare accessible to the poor, he adopted a flexible pricing model, wherein patients from the economically weaker sections pay what they can while the affluent pay regular charges. Although the charges for a regular by-pass surgery at Narayana Hrudayalaya are much lower than what most corporate hospitals charge for the same, the hospital is still making a profit. In case the cross-subsidisation model skews the profit and loss account, a trust will bridge the difference.

While some may snigger at the

likes of Mishra and Akula, not all entrepreneurs are ashamed of doing business with those who live on the periphery of society. Traditionally, investors have ignored such markets, but with urban markets beginning to saturate, companies are waking up to opportunities outside cities. In Bangalore, Biocon and Narayana Hrudayalaya have established a trust for Arogya Raksha Yojana, a unique healthcare scheme for rural India. The scheme has been launched in collaboration with ICICI Lombard, which will sell health insurance to the rural poor. The insured can avail benefits such as subsidised medicines and medical check-ups. Says Sumir Chadha of

SAS MOTORS

Promoter: **RAVINDER KUMAR, 55**

Business: **Low-cost tractors**

Revenue target: **Rs 100 crore by 2010**

EVEN THOUGH 70 per cent of India's population lives in rural areas, dependent on agriculture, the country produces only two lakh

tractors in a year compared to 10 lakh cars, 60 lakh motorcycles and three lakh three-wheelers. Ravinder Kumar decided to get into the business of manufacturing small and affordable tractors to bridge this deficit. With a price tag of Rs 1.2 lakh for a 22-HP tractor, his venture Angad Tractors is giving staunch competition to its nearest rival, whose tractors cost twice as

much. Kumar's company SAS Motors aims to revolutionise the agricultural sector by introducing low-cost implements. The company sources components from China and assembles the tractors at three locations in India, making machines that meet the requirements of the average Indian farmer. SAS's range consists of low-HP as well as belt transmission tractors.

"Though a majority of Indians are dependent on agriculture, India sells only 2 lakh tractors."



RAHUT SINGH